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Intercontinental Exchange, Inc. (ICE)

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CORPORATE PARTICIPANTS

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

OTHER PARTICIPANTS

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

MANAGEMENT DISCUSSION SECTION

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

All right. Good afternoon, everyone. We'll get started with our next session with Intercontinental Exchange. I'm delighted to have the Chairman, co-founder – Chairman, founder of ICE, Jeffrey Sprecher. This is Jeff's ninth year in a row at this conference, so hopefully we can get a 10 next year. But as always, thank you for the time. It's always a pleasure interviewing you.

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

All right. Thank you, Chris and thank you for those that are in the room here.

QUESTION AND ANSWER SECTION

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

Good stuff. And as always, you can ask a question through the Pigeonhole system. I'll try and get to it if we have time. Maybe Jeff, let's just start with the just the overall company strategy. You call it the all-weather model is certainly delivering, if I look at sort of EPS, very, very strong, all three segments are growing, but almost any measure the business is firing on all cylinder, yet the stock trades at a meaningful discount to peers. Kind of what is the market missing and what can you do to help close the gap between performance and fundamentals?

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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You know, well, I feel like we're doing our job and you people in the room here need to, you know, lift up a little bit here. Right. You know? No, I do think we've been caught up a little bit in the SaaS apocalypse, a big part of the exchange and financial services businesses that we run are the distribution and sale of data. And similarly we run a big network and software overlay for the US mortgage industry and I don't know, when we talk to investors, they're just unsure right now of what the future looks like in terms of how data is going to be consumed and paid for and how these networks that that connect to markets like the mortgage space will evolve in a world of AI. We think and the numbers you just mentioned that it's – that those are tailwinds for us, not headwinds and are certainly building the business to take advantage of AI. We've been early and aggressive in adopting AI models ourselves and building AI models with and for our customers. And so, you know, I've been at this a while as the founder of the company. And from time to time, you know, the performance of the company and the share price will disconnect but we're markets people, and I ultimately put my faith in the market, and I know the market will eventually find our value. So it's really just a – for us, keep your nose down, keep doing the right thing and the value will find us.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

Okay. Maybe on the same strategy topic, the one question we do get is around the fact you have three different businesses and arguably there might be a lot more discounts to the stock. How do you think about the investment case about three businesses together? Why do they create more value than having them separately?

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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Yeah, it's interesting because we have a common customer base that is consuming these businesses. And interestingly, you know, when we bought the New York Stock Exchange, the market said, why would you ever want to own the New York Stock Exchange? It's a legacy business. I mean, it's a real legacy business, right? 1792 and one of the oldest businesses continuing in the United States, people were asking, why would you want this? Well, you know, our client base uses the New York Stock Exchange, and it opens doors for us to sell all these other services and network connectivity. And it's a trusted source in terms of getting through your company's firewall and working with your IT department to be a part of our network. And so anyway, I give you that anecdote just because everything we do is very network based and has a common customer base. And the trust that we've built with that customer base has allowed us to grow all these segments. Could they be separated? Maybe at some point you've made the penetration, you've made the customer relationships and so on

and so forth, but the reality is we you know, when we started the business, we were an energy commodity exchange.

And because I came out of the electric power business and that's what I knew, and I never in my wildest imagination thought that in 20 years you could still grow the energy business. You know, we were talking about using less fossil fuels. Anyone you and I, as consumers, will never consume or buy a barrel of oil. I thought anyone that bought a barrel of oil was – as an oil company, it was already on the platform. Again, I mentioned that just because we continue to grow our customer base. So it's amazing how big the financial services markets continue to grow even after 20 years and the core business, which we wanted to diversify, continues to be a growth driver for the company.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

Okay. Since you brought up energy, I think we'll shift there to your point 20 years old business but over the last three years, it's almost doubled in revenues given the aftermath of Russia-Ukraine. As you think about, you know, Iran and Hormuz and some of the shifts in energy supply chains that come from that, is that what – you think is another catalyst for potentially significant revenue growth over the next couple of years?

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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Yes. And I think when you couple that with even on top of the current Middle East conflict is different trade deals that have been going on where the US in its most recent round of trade deals was trying to equal – equilibrate the balance of payments and was already putting pressure on, particularly on Asia, to accept more US energy. That's probably, you know, move to the forefront now in terms of scarcity value. So, yeah, and, you know, you also have, you know, the actions in Venezuela that have, to a certain degree, rewired the supply chains and potentially a massive future rewiring as the Venezuelan assets are, you know, exposed to the world. It particularly rewired in the western US as well, so you kind of have this duality of the East wanting more ship borne energy, be it natural gas or crude oil from new suppliers, potentially. And then the western world bringing on, you know, massive US exports coupled with Venezuelan exports. We just think there's a lot more risk in the supply chains and differentiation in supply chains, new players that are coming into those supply chains. They are all looking to hedge and bring activity to our markets. And you can see it in our numbers. It's pretty astonishing.

It's not just more volume, but we actually have more participants. And those participants, in order to manage risk, are consuming more data. So there's a flywheel effect that was probably accelerated by what's been going on in Iran.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

Okay. So double revenues in the next three years?

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

I have my CFO up here and let me listen to him.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

Right. Just drilling on to your points around sort of supply chains and US energy being the sort of dominant incremental source of price discovery. Just talk about how that's impacting benchmarks globally. We're moving towards more Houston from Cushing as a pricing mechanism, and that's benefiting your ecosystem. Just talk about how you think about, you know, different benchmarks over time and how that benefits you.

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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Yeah. So one of the flagship products that we trade is Brent crude oil. Brent was a grade of crude that came out of the North Sea between the UK and Norway. And over time the UK has shut in those oil fields and while we have this thing we trade called Brent, there's actually no Brent crude in Brent. We basically took that index, if you will, and modified it and expanded it so that it, to a certain degree it is the optimal price of oil on a ship moving around the world. And we did that partly because there was no more Brent in the Brent crude index, so we needed to reconstitute the index. But then we caught this wave of US energy dominance and oil exports and ship borne oil moving around the world. And then you know couple that where we years ago, I asked my colleagues, like, you know, there's a pipe that goes between the UK and Europe and we were trading natural gas on the UK side and I asked my colleagues what trades on the European side and they said nothing. And so, we created this index called TTF, which was just natural gas, Dutch natural gas that was really there in our minds to create a basis trade for this, the other end of this pipe and because of a series of events, Europe is now a net importer of liquefied natural gas. And that marker has become the marker for natural gas at sea.

Similarly, we have a marker called JKM, the Japanese Korea Marker. And again, because of many of the trade deals and a rewiring of the energy markets, we really expect a lot from, you know, risk management around Asia natural gas. So we – I don't know WTI, which is the oil in the United States, is actually oil in a pipe delivered to Cushing, Oklahoma. And while we still talk about WTI and we still talk about the Dow Jones Industrial Average, the reality is, I think in the world of supply chain, it's export and import ship borne oil and natural gas that is really, you know, helping to manage risk. And the relevance of taking delivery of oil in Oklahoma is lessened, even though there's still a lot of trading in the Dow Jones Industrial Average and there's still a lot of trading in WTI and I think it will continue. It's just these other grades, I think, is where the growth will be.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

Okay. Let's switch over to digital assets and tokenization. Clearly, a lot of focus around tokenization today. You guys have an initiative to grow there. A lot of different players, traditional peer exchanges, crypto firms. Just talk through what you're doing, how that's different and then ultimately, how do you think about, like the revenue or the monetization here? Is it more volumes? Is it something else? I'd be curious.

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Yeah. So I think the end state in my mind for this, so this is one person's opinion, right? But the end state in my mind is that we're going to exchange value over the Internet and it will be tokenized effectively and it will be encrypted. And why will we do that? Well, the banking hours and the banking systems close, you know, they have banker hours. And so we have what we just talked about was global supply chains, global energy movement, which we trade. We have 13 exchanges and six clearinghouses around the world to do that. So to a certain degree, we follow the sun, but the reality is that when banking hours close in a region, we basically have to close money movement. And so, I think as we move to 24 by 7, 365 trading of things around the world, the capital is going to move on the Internet. The thing that could disrupt and I think that is – that's already happening in the crypto world, and I think that's going to be institutionalized in the world of you and I sitting in this room.

The thing that could change that is if encryption could be broken, in which case we may move to a world like that and then it may move either encryption will get better and outlive quantum computers. And we all know and have read dozens and stories about crypto wallets that have been hacked and Bitcoin that's been stolen and what have you. If that's the case for traditional capital, then I think we'll move those tokens back on to some kind of private network banking system. But we will have gone 24 by 7, 365. The other thing it's doing is that we're dollarizing the world because we have people around the world that want to own The Magnificent Seven, because that is dollar denominated. People have figured out how to use Tether and USDC as stablecoin dollar-based collateral to buy these things and so – and other countries that have been slow to recognize, you know, the tokenization of money are being left behind.

And so, I really feel like, you know, we're just going to have global money movement. What does that do for my company? It allows us to – for people to trade 24 by 7, 365 and it allows us to instead of having excess collateral in our six clearinghouses, we can keep, let's just say, excess collateral for an institution in one of our clearinghouses. And as you know, the trading moves, we can quickly transfer funds and always keep everything in balance. That's what I really think crypto and tokenization is doing. I think, you know, we're already working with three large banks who are tokenizing deposits. And so, while we have stablecoins right now and that's a very popular retail product for institutions like us, you know, we may just be using a different set of wires to move the money that we already have in our accounts. And it may move a lot faster, a lot more efficiently and cheaper. I've talked to, you know, senior people in the US government, senior people in Europe and UK government about, you know, could you really extend the legacy pipes of the banking system? And the answer is no. The answer is those are controlled by government entities. They're slow to react. They kind of depend on closing the banks so that you can resolve a failing bank like a Silicon Valley bank.

They kind of take like the idea that M&A and other things can happen over the weekend and we can have, you know, Monday morning surprises. But I do think that attitude is going to be overtaken by the private sector, which it already is, and we've been, you know, I think, aggressive and quick to embrace it because I think it will yield better, faster, cheaper risk management. And ultimately, that will increase our volumes and our earnings and cash flow.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Okay. You took – you've taken stakes all these partnerships with two prominent digital players, OKX and then Polymarket. On OKX, just talk through the rationale behind that investment, what are you trying to get done and maybe your vision for that partnership?

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

Sure. One of the things we have done is we've applied to the SEC to tokenize stocks at the New York Stock Exchange. Now, the reality is the market doesn't want us to tokenize stocks at the New York Stock Exchange. And so what we've done is we've set up a sister company which they call an ATS, an alternative trading system, and we've asked the SEC to allow us to trade 24 by 7, 365 stocks. And we're well along that process of getting approval and we think we will get approval and we think we will – we believe we can. The SEC has the authority to approve this under existing US law. It does not require the crypto bill called the CLARITY Act to pass and assuming that we do that on day one, I would expect no one in this room would want to participate. You know, there's a broad resistance to trading over the weekends and trading at night, and it's just not how the infrastructure has been set up, but there is a demand for it. And so, we ask the question, well, how are we going to – who's going to show up to distribute this? OKX is the second largest crypto exchange after Binance. Both

Binance and OKX, they were brother-sister. CZ who started Binance was the Chief Technology Officer of OKX and eventually left to start his own, but these are two Asia-based crypto exchanges. And OKX got into trouble with the US under the Biden administration, paid a large fine and agreed to a monitor and agreed to do KYC/AML and really get to know their customers so that they could follow US law.

And we liked that about them and we said, okay, you know, they want to enter the US lawfully and legally. We want to distribute tokenized 24 by 7 equities in Asia, which is where that volume, incremental volume would come from. So we'll help them effectively become a broker dealer and FINRA regulated and with SEC oversight. And they'll help us by distributing into Asia and you all can sleep and not worry about it and then wake up in the morning and see where, you know, what happened I think. Anyhow, and then similarly we invested in the prediction markets into Polymarket because Polymarket is a true DeFi exchange. It, in its absolute form, has no oversight. The market determines what's going to happen, what products trade, how the things settle, their stablecoin collateral is algorithmically attached to each trade. The trades settle algorithmically. I mean, very different than what we do that has human oversight, human responsibility, and has a clearinghouse that's a separate entity that settles trades. We're just interested in that technology. It doesn't fit with US regulation, and we've been helping Polymarket and articulate like, you know, what could be modified to allow it to be US compliant.

And we've been spending a lot of time with the CFTC to talk about the core principles that legacy exchanges, like we are subject to and how those might apply to a DeFi exchange. We're distributing their data to you all the institutional market. We do think that over time, a lot of what's being talked about is sports betting and even politics. But we do think that there's going to be a tremendous growth of economic data that gets benchmarked and traded in prediction markets and on legacy exchanges. It's going to bring institutional investors and retail investors together to discover prices and inputs. And we just want to be a part of it, and we wanted to fully understand, you know, the DeFi movement. So it was kind of a marriage of we'll help you, you help us and let's see if we can move the market along.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

Okay. Some of these crypto native players are also coming out to some of your markets. Hyperliquid has gotten a lot of attention in the energy markets. What do you make of that platform as a competitive threat and sort of how do you think about being responsive to what they're doing?

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

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Well, first of all, we know them well and I've met with them a number of times personally and to talk about what they're doing, what we're doing and where there may be some common overlap that we can work together on. They have gotten attention because they've been trading oil on the weekends when our traditional oil markets are closed and it just so happens in this time of conflict in the Middle East, there have been a lot of activity that happens, a lot of decisions and things happen on the weekends. So it's gotten a lot of interest. I think the reality is it's going to go to the next level on – they've listed SpaceX for trading or they've listed a derivative of SpaceX for trading and I think it's going to be really interesting to watch on June 11 when SpaceX goes public, what this private market has discovered as the price and whether that price impacts the IPO. I think regulators and market participants are going to say, you know, either it was irrelevant or it was highly relevant.

And so to a certain degree, you know, I guess I'll withhold judgment for another few weeks, other than the people that have built that exchange are extremely smart and that is a true DeFi exchange. And it's attracted a lot of market makers and other market participants, early adopter market participants that would ordinarily be in our

traditional markets are there exploring, you know, of this technology and this way of doing business. It is on a blockchain. It is settled with stablecoins algorithmically settled. It has very high margining. You can have up to 100 to 1 leverage, which is part of the allure. It means going back to SpaceX, depending on how much leverage is allowed, you're going to have retail essentially or mathematically are going to be putting a lot of capital at risk on that IPO. It may, depending how big this gets, it could be bigger than the IPO. So that's why I say I don't think you can ignore it. I don't know yet whether we embrace it or hate it, but I think we'll all have an opinion, you know, in June. And I salute these guys for doing it. I mean, these are some very, very smart people.

Christian Bolu*Analyst, Bernstein Institutional Services LLC (Autonomous Research)*

Maybe just on the energy and oil side, and clearly, they've tapped into a demand [indiscernible] (00:36:27)

Jeffrey Craig Sprecher*Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.*

Yes.

Christian Bolu*Analyst, Bernstein Institutional Services LLC (Autonomous Research)*

Is there anything ICE can do to at least help satiate that demand and bring that fully back to you?

Jeffrey Craig Sprecher*Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.*

Yeah. So, you know, we went to all the major oil companies and said good news. We can stay open. We follow the sun. We have people around the world so we can stay open on Saturday. Good news. And it wasn't very good news, honestly. And so, the market hated it. So what you're going to see us do is stay open very, very, very, very, very late on Friday and open very, very, very, very, very early on Monday. And so essentially narrow down the window that there isn't traditional trading. And, you know, I think it's a wakeup call for the industry because while most of our institutional clients are not, you know, trading on blockchain and they're not, these are unregulated foreign entities. And most of our clients don't even have the ability that, you know, internal controls don't give them the ability to trade on these things. They're all watching it and they're watching the price discovery and whether they admit it or not, it is being, you know, part of the zeitgeist of when our markets do open really, really, really, really, really early on Monday.

And so in that sense, you know, they're important and we would – we just think that, like it or not, markets have become much more global, much more dollarized. And there's been a just like the equity markets that many of you participate in here. The rise in retail and the equity markets is phenomenal and that's happening in all markets, and I think we're just going to have to get used to the interplay of retail and professional trading. 24/7, 365.

Christian Bolu*Analyst, Bernstein Institutional Services LLC (Autonomous Research)*

Okay. It sounds like, [indiscernible] (00:38:31) sounds like you have some at least admiration for those founders, what they're doing.

Jeffrey Craig Sprecher*Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.*

I love that. I love these guys. I wish I was younger and doing it. By the way, the number of billionaires that are being created doing this, this Hyperliquid that we're talking, if you haven't heard about it, it's bigger than Nasdaq. Okay? It's 11 people. You look at it, you're like, wow, that's pretty something.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

All right. There's been some reports and then yourselves and CME have raised some concerns to regulators around the risks, the Hyperliquid venue. I guess, how do you answer skeptics? Well, what are the risks that you see, one, and how would you answer skeptics that think or simply say use regulation to slow down a fast [indiscernible] (00:39:19)

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Yeah. There was an article written, where it had us in the headline that we were all freaked out about it. We're not freaked out about it. We were actually talking to these people and learning about it. They're learning what we're doing. We're helping them understand our world. They're helping us understand their world. So in that sense, I join the admiration. But what we are saying to the regulators is, can we do that? Like, why are we – why are you prohibiting us from doing this when it's already happening? And can't we have a level playing field? And by the way, this stuff is global. So, you know, and the US is very – under this administration is very pro digitalization. And so, you know, how do we square that circle? Because we'd like to do more of it if you think it's lawful and if you don't think it's lawful, then how come, you know, they're not getting the same nasty letters that you send us? The thing that is trading right now, which you'll hear a lot about, is the thing called the perpetual future. In our world it's called the swap. And in our world, Dodd-Frank was passed and Dodd-Frank says exactly how swaps are reported to the government and what a – who is a swap dealer and how much you can margin and how these things get liquidated. And, you know, Title VII of Dodd-Frank is a whole, you know, multiple page set of laws that was designed specifically after the financial crisis to prevent the trading of swaps.

And so now, we call these things perpetual futures and they're highly levered and, you know, very liquid and the regulators have a choice to make, which is, do they create some new category of regulated perpetual future, or do they call them swaps and suck them into Dodd-Frank and e-mirror in the EU and there's similar regulation in Japan? And we don't know the answer to that. I'm not sure the regulators know the answer to that right now. On the one hand, people want there to be innovation. They want there to be competition. On the other hand, you know, the incumbents like us, we want to make sure that we understand the rules and that it's fair competition. And I think, you know, the next few months and maybe the SpaceX IPO will – I think people will start to settle around a common view of this stuff.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

Okay. Just quickly on this, just how you think about strategy and attacking this whole digital asset space. It seems like it's been very much about taking equity stakes. But as we roll forward three to five years, is there a vision of ICE, having this on-chain platform, et cetera, as opposed to sort of the stakes?

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Yeah. So we have already hooked the New York Stock Exchange to a blockchain market for settlement. We're running that in our own data center. It's not public, but we proved we can do it and so I think, like I say, I think as we digitize collateral, I think, you know, we're ready to go. We understand what to do. What I said to you, though,

is we hope the New York Stock Exchange market to a blockchain because we do 1.7 trillion transactions a day like it's the volume on the New York Stock Exchange is like staggering. It's more than Google search, I think, and there's no chain that can handle the kind of volumes that we do.

Second thing is that on a blockchain, you know, the way it's decentralized is you have proof of stake or proof of work but basically you have to have multiple Oracles that are multiple validators that agree that title has transferred and that takes time. And we all live in a world where algorithmic traders are, you know, in microseconds making markets on our platforms. And they don't – I don't think the market wants to go back in time on latency. I think the market once has figured out how to deal with fast speed, but it wants the kind of digital settlement that I described earlier against that speed.

And I think blockchain as it exists today, even the best chains are good enough to net positions relatively quickly and move collateral, you know, near instantaneously but not at the same speed that – and the same velocity that the trades are being done. And I think that will be a relatively easy and painless transition for most people because, you know, collateral movement against the positions that you all take is done by your back office. It's well understood how to move capital. I think this is just a different set of pipes. The big banks that are working with us are, going to accommodate that wiring and network. And I think, you know, eventually most people will coalesce around a single chain and or multiple chains that can talk to each other and I think it will happen pretty organically, but relatively quickly.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

Let's move from digital assets and instant settlement and speed and innovation to mortgage technology, so we can get into more different in that. On mortgage, maybe just firstly, more of a macro question, I think there's certainly hopes of rates coming down. Yeah. This year, that's sort of flipped. You know, the business seems like it's beginning to turn around irrespective of the macro, but just talk through how changing would expectations impact sort of how you think about business over the next year or so?

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Yeah, we have an interest rate franchise in the company and what we didn't have was consumer rates, which is really, let's call it the cash market. We have a lot of derivative markets. We wanted to have a counterweight to our business in order to create an all weather name. We thought as interest rates, if they were to go down home, mortgage volume would go up and derivatives volume would go down. The opposite has happened. Interest rates have stayed high, are the best product we have at our company. And the fastest growing product we have are the interest rate derivative markets. The all-weather strategy has worked. It's just frustrating that there's this one leg there that we all had – we thought it was going to go the other way, and it hasn't. So – but what we have been doing, you know, in the interim, we run this network pretty much everybody in the US mortgage industry touches our network. Probably over 90% of all mortgages at some point go across our network. And when they go across our network, you know, we're gathering the data and distributing mortgages. People don't – lenders don't write mortgages and then hold the mortgage on their books for 30 years the way, you know, maybe they did in the 50s.

Mortgages are either packaged and sold into mortgage-backed securities. The servicing rights can be and often are stripped off and sold and mortgage are packaged in different ways, or they're given to Fannie and Freddie who then – or Ginnie Mae and who then turn around and repackage them and put them into other kinds of government backed securities. So these mortgages are moving around and we run this network. And what we're finding now in a world of AI is that is a foundational layer for which everybody is interested in improving the velocity of executing a home mortgage but because they change hands, the data set also has to change hands

and has to be auditable. And the government has Fannie and Freddie have now come out and said we do not want mortgages, that that AI is underwritten because we don't know what's underneath those mortgages. We want a foundational data layer that is auditable. We don't care if you use AI to help automate some of your workflow, but the mortgage itself has to have this foundation layer. So we've been working with around with the government and with, you know, major market participants to put AI heads on top of this network, to streamline the way things flow.

The most amazing thing that we discovered, which AI has helped us do, is that we have this amazing topology on our network because we see pretty much everybody and everybody's data, we know who does business with who. We know where the mortgages go, how they originated, where they go. We know in a company which employees have access to which data because data is segregated depending on what your role is in a company in order to protect the consumer. And so, we've now been working, you know, using Claude and Anthropic to create a topology layer is, we think, going to be really valuable to help automate the workflow, not just inside a company, but across the whole industry and knowing who does business with who and where the mortgages went and how to reconstruct them and if there is a default or foreclosure, you know what the origination of that mortgage was and who's liable for the sharing of the pain?

So anyway, kind of the opposite, I think, of what people thought about that business, that maybe that everybody would just go write their own code and write their own platform, and the reality is that data – foundational data piece we think is very, very valuable.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

Okay. You know, to your points, the data piece and your platform, Encompass, is – it's a dominant loan origination system. You know, there are a couple of new AI native players, one in particular, Vester has been pretty visible with a couple of competitive wins from your platform. Again, how real is this threat from the sort of players as anything you're doing in your business to sort of neutralize that threat?

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Yeah, well, first of all, I would say there's a lot of experimentation going on around with AI, including in my own company, in the way we're using it for our own needs but there are startups that are running out and saying, look, give me 10 loans and let me show you how my thing works. And most of this stuff is very, very good if you're dealing with vanilla ice cream. But what you find in the mortgage spaces is we're a very diverse population with a very, very diverse housing set and very, very diverse outcomes on what happens with a mortgage and the edge cases are the ones that regulators care about honestly and the ones that catch people by surprise. And going through a foreclosure, for example, is a legal process, if you – for those that are my era, remember that during the financial crisis, lenders were showing up with loan documents in court that had what they called robo signatures. In other words, they were not the original wet signature, and the courts would not honor the foreclosure and you know, our system of dealing with the resolution of mortgages is very, very deeply ingrained in the legal process.

And there's a process in every state and jurisdiction on what has to happen and AI model maybe that helps a lawyer deal with that better, but the reality is it is very – it is not something that the courts want to see automated. We – everybody learned that in the financial crisis with these robo signatures, so those are areas where we just don't think the incumbents understand. We like I say, I don't think people were prepared for Fannie and Freddie to say we're not going to – we're not going to underwrite those kinds of mortgages. You can understand why they're saying that, like, you know, this could be the next financial crisis if we don't understand what the you know, what the algorithm is doing or what data it's using, or is it hallucinating and is it discriminatory? It's just in a highly area

and the most important decision that consumer will make, that has a lot of empathy by lawmakers to make sure that they're treated fairly and properly. And that's very hard right now to automate. We can do little workflow things to make sure that the people that are in charge are doing it fast and efficient. But I think people are overestimating, putting AI into regulated markets. I think there are other markets where you could do AI and have it adopted. Regulated markets are tough. I'm telling you, we're – we run regulated markets and we have a lot of expertise, and we get dinged all the time and every one of our lenders gets dinged all the time. And you know, we have 3,500 lenders that are on this network and that thing is completely audited from soup to nut.

Every lender is audited on the behavior on that network, and so it's something that is puts us in a very strong strategic position, if you will.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

Okay. Let's switch over to your fixed income and data business. You know, pretty interesting launch you had in private credit data, I think with Apollo as the anchor. Just talk about how that came about. How do you ultimately take what is a, I guess, single partnership into an industry standard? And any thoughts on the vision for this over time?

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Yeah, I think, first of all, a lot of credit to Apollo, Marc Rowan and Apollo. They are one of the leaders in the private credit space. And talking to Marc, started maybe a year and a half ago or more, they felt like the market was not appreciating the quality of the loans that they had originated and their ability to put their own credit standards on things and so now with the sort of recent downturn in share prices for people in the private credit space, Marc and the team there wanted to provide more transparency into what they've done because they think the market has overreacted. So how do they want to do that? So we've set up a relationship with them where they've so far, they've given us – we've been working on this for over a year, but so far they've given us about 12,000 loan documents that cover about 1,100 loans. And we've been going through their loan documents and essentially building a data set of 350 unique qualities that we jointly agree sort of define a loan.

And of those 350 attributes, there's about 65 in our mind somewhere around there that if you were going to buy a loan from them or have a loan on your books, you would be interested in those 65 attributes and to the extent that there's a change in credit quality, like what has happened to those 65 attributes, and there's probably 20 or 25 of those attributes that if you were actually going to do secondary trading of a loan, you'd want those updated all the time so that you could see the real value of that loan. So anyway, we're starting with just let's just get transparency into what these loans are, how they're constructed and Apollo, you know, on its choosing will allow certain of its limited partners to have access to that data set. So as Apollo marks these to market, that those people that are on the receiving end have some visibility into what are the attributes that are in that loan and what are the attributes that Apollo is looking at that when they're coming up with the marks?

We've been talking to most of the other major private credit entities who are all interested in what we're doing and are in various stages of determining whether or not they want us to do that for them. But if I had to guess, I think a lot of the LPs will like having more visibility because these things are on their books and I think they'll be, I don't know, my experience is that it's hard to get transparency. You know, floor traders didn't want to give up their position on the floor. And, you know, people like dark pools because don't want to see, you know, they have people think that they can see what they're doing in a lit market when reality, you know, dark markets have the same participants as lit markets. I'm not sure there's a lot of difference. And over time, we've all kind of gotten

used to, okay, I'm going to be more transparent. I think that will happen to the private credit market and kudos to Marc and the team at Apollo for wanting to take a leadership role there.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

Okay, quick question and just your infrastructure. You've chosen, unlike your peers, to own your own data centers. And there's certainly been from the revenue side that's been a great decision in the last – at least in the last year or so. Remind us again why you chose that and then how you think about just demand sustainability for access to data centers, et cetera, over the next couple of years?

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Yes. So there was a period maybe, I don't know, 10 years ago when everybody was moving to the cloud and we have a lot of business in the cloud and we work with all of the major cloud providers. And for you all to do business with us, we're cloud agnostic. You can show up with your own cloud, but you will pay for it. And what we figured in the early days of cloud is we couldn't control the expenses for the cloud like our people were using more and more and more of it. And the price was going up and up and up. And we were like, well this, you know, as a manager, it's like this is not a good situation. So we said we you know, we run the New York Stock Exchange, for crying out loud, like we have everybody and their brother in finance wants to take data and information from us. We should have our own data center network and we should beyond that, we should build our own network. We should have our own pipes and wires and create our own cloud.

And so, we have a thing called the ICE cloud, which is how, you know, many, many financial services companies take data and information from us. There's been a demand, you know, as we moved from floors to screens, you know, from mouses to algorithms, there's been more and more demand to be located in our data centers. And we created a concept of, you give us your hardware, you pick your hardware, you give us your hardware, we'll put it in our data center and we'll manage it for you and we'll colocate it and we will guarantee that no one has priority over anyone else by literally down to microseconds, making sure that the data distribution is even across all players. And anyway, that caused us to start building data center capacity and then, you know, kind of NVIDIA took off maybe a couple of years ago and we decided maybe we should get some of these GPU chips and maybe we should, you know, we should maybe build more data center capacity. And we need to – we need to get electric power and cooling and everything else and so we, you know, luckily, I guess, sort of beat the curve. And so, we've got a brand-new data center that sits next to the – New York Stock Exchange data center is still not built completely full.

We're going to fill it up here pretty soon and now we've got a second data center about the same size it's sitting next to it that will allow us to expand for years. And so, we run auctions for space for people that want to be a part of that data center. And now, you know, with our – with all the AI stuff that I mentioned to you, we can use the cloud if people want to use the cloud for running inference and learning or we can use our own GPU stack. So I don't know, we're in a really good position and as Christian is alluding to, we have a lot of clients that are like, okay, that sounds good to me. How do I get into it?

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Q

Great stuff. We're almost out of time, but I wanted to squeeze in one last one and you have one minute, Jeff, on this one. So it's just the next five years or so in the company, if I think through the last 10 years or so, you've

added a new big segment. I don't know it's just fixed income and data and then mortgage, what's the next?
What's the next [indiscernible] (01:01:48)

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

A

Well, I mean, to a certain degree, we talked about, you know, we're moving into private credit, we're moving into tokenized collateral, we're moving into, you know, 24 by 7, 365 access to everything we do without doing anything other than the organic growth that I just mentioned to you. I think it's going to transform the company.

Christian Bolu

Analyst, Bernstein Institutional Services LLC (Autonomous Research)

Great stuff. As always, always a pleasure. Thank you very much, Jeff.

Jeffrey Craig Sprecher

Founder, Chairman & Chief Executive Officer, Intercontinental Exchange, Inc.

Right. Thank you, Christian. Thank you.

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